

\* **—** It is a violation of Federal law for an open-end mutual fund, a closed-end fund, or an exchange-traded fund to sell shares to the public unless it has “registered” (or made mandatory financial filings) with the SEC.

† **—** The fund industry has gone from “very large” to immense. At year-end 2002, there were 8,279 mutual funds holding \$6.56 trillion; 514 closed-end funds with \$149.6 billion in assets; and 116 exchange-trade funds or ETFs with \$109.7 billion. These figures exclude such fund-like investments as variable annuities and unit investment trusts.

\* **—** Lists of the major types of mutual funds can be found at [www.ici.org/pdf/g2understanding.pdf](http://www.ici.org/pdf/g2understanding.pdf) and <http://news.morningstar.com/fundReturns/CategoryReturns.html>. Letter-stock funds no longer exist, while hedge funds are generally banned by SEC rules from selling shares to any investor whose annual income is below \$200,000 or whose net worth is below \$1 million.

† **—** Today, the maximum sales load on a stock fund tends to be around 5.75%. If you invest \$10,000 in a fund with a flat 5.75% sales load, \$575 will go to the person (and brokerage firm) that sold it to you, leaving you with an initial net investment of \$9,425. The \$575 sales charge is actually 6.1% of that amount, which is why Graham calls the standard way of calculating the charge a “sales gimmick.” Since the 1980s, no-load funds have become popular, and they no longer tend to be smaller than load funds.

† **—** Nearly every mutual fund today is taxed as a “regulated investment company,” or RIC, which is exempt from corporate income tax so long as it pays out essentially all of its income to its shareholders. In the “option” that Graham omits “to avoid clutter,” a fund can ask the SEC for special permission to distribute one of its holdings directly to the fund’s shareholders—as his Graham-Newman Corp. did in 1948, parceling out shares in GEICO to Graham-Newman’s own investors. This sort of distribution is extraordinarily rare.

\* **—** Dual-purpose funds, popular in the late 1980s, have essentially disappeared from the marketplace—a shame, since they offered investors a more flexible way to take advantage of the skills of great stock pickers like John Neff. Perhaps the recent bear market will lead to a renaissance of this attractive investment vehicle.

† **—** “Performance funds” were all the rage in the late 1960s. They were equivalent to the aggressive growth funds of the late 1990s, and served their investors no better.

\* **—** For periods as long as 10 years, the returns of the Dow and the S & P 500 can diverge by fairly wide margins. Over the course of the typical investing lifetime, however—say 25 to 50 years—their returns have tended to converge quite closely.